

Riyadh Residential Compound Feasibility Study

Title: Riyadh Residential Compound Feasibility Study

Project type: real estate residential compound apartments

Sector: real estate residential

Location: North Riyadh, Kingdom of Saudi Arabia

Year: 2024

Units: 500 apartments (mix of 2BR and 3BR)

Land area: 85,000 sqm

Gross floor area: 95,000 sqm

Assumptions:

- units = 500
- absorption_rate = 12% per quarter
- year1_occupancy = 28%
- avg_selling_price = 980000 SAR per apartment
- construction_cost_per_sqm = 3400 SAR
- land_cost = 195000000 SAR
- soft_costs_pct = 8%
- contingency_pct = 7%
- opex_annual = 32000000 SAR
- property_management_fee = 4% of revenue
- mortgage_rate = 5.5%
- sales_velocity = 40 units per quarter after launch

CAPEX total SAR 685,000,000

OPEX annual SAR 32,000,000

Revenue ramp: Year1 180M, Year2 320M, Year3 410M SAR

Risks: absorption delay, construction cost overrun, mortgage rate spike, off-plan cancellation

Outcome: GO_WITH_CONDITIONS after achieving 35% off-plan reservations

Similar studies: North Riyadh mid-market residential compounds 400-600 units